Competing Visions for EU Economic Power: A Dual-Track Reform of Competition and Industrial Policy

1. Executive Summary

The European Union is caught between two visions of itself. On one side stands the Ordo-liberal tradition: open markets, vigilant anti-trust enforcement, and the belief that competition within the Single Market is Europe's greatest economic asset. On the other stands an increasingly vocal coalition of governments, industrial lobbies, and senior policymakers who argue that in a world of Chinese state capitalism and American industrial subsidies, Europe cannot afford to leave its strategic sectors to market forces alone.

This paper supports that both instincts are right, and that the EU's current policies fails to honour either of them properly. The existing merger review framework was built for a different era. The Horizontal Merger Guidelines still define competitive harm primarily in relation to EU market structure, ignoring the reality that Airbus, ASML, and Siemens do not compete against European rivals. They compete against Boeing, CXMT, and General Electric. Meanwhile, the state aid rules designed to prevent internal market distortion now operate as a de facto veto on the kind of coordinated industrial investment that the US Inflation Reduction Act and China's Five-Year Plans deploy without restraint.

The result is a regulatory framework that Mario Draghi characterised as suffering from "regulatory obsolescence": rules never designed for geopolitical competition, now applied to a world shaped by it (Draghi, 2024).

This paper proposes a Dual-Track Reform. The first track modernises merger review by embedding a "global contestability" standard into the Commission's assessment criteria, allowing consolidation where it produces European scale for global markets without sacrificing internal competition. The second track replaces the fragmented patchwork of national state aid schemes with a centralised European Sovereignty Fund, ending the situation where German and French industrial subsidies crowd out investment in smaller member states. Together, these reforms would allow the EU to act as a coherent economic power without abandoning the Single Market logic that remains its competitive foundation.

2. Problem Definition: The Strategic Dilemma

2.1 The Ordo-liberal Pillar

DG Competition's mandate is, at its core, a consumer welfare mandate. The Treaties oblige the Commission to prevent concentrations that would significantly impede effective competition, and in practice this has meant blocking or conditioning mergers that raise prices, reduce choice, or diminish innovation for European consumers. This is not a bureaucratic quirk. It reflects a deliberate choice made at the foundation of the European project: that the Single Market's legitimacy rests on its fairness, and that fairness requires enforcement (Council Regulation).

The Ordo-liberal pillar has real achievements to its name. EU merger control has prevented the kind of monopolistic consolidation that has characterised certain US technology markets. The state aid rules, when enforced, have prevented member state governments from picking winners at the expense of their neighbours. These are not trivial accomplishments.

2.2 The Strategic Pillar and Its Frustrations

And yet. The Siemens/Alstom prohibition in February 2019 remains the case that will not go away. The Commission blocked a merger between the EU's two largest rail manufacturers on the grounds that it would harm competition in the EU market, even as the French and German governments argued that the combined entity would be better placed to compete against the Chinese state-backed CRRC, the world's largest rolling stock manufacturer (European Commission, 2019).

The Commission's decision rested on a finding that the relevant geographic market was "essentially EU wide" and that CRRC was "not likely to enter the EU market in the near future." The logic was technically defensible. This narrow geographic focus ignored a staggering disparity in scale. By 2019, CRRC's annual revenue already exceeded €26 billion, roughly equivalent to the rail revenues of Siemens, Alstom, and Bombardier combined (Institut Montaigne, 2024). While the Commission dismissed CRRC as a "distant" threat, the Chinese giant held 30% of the global market and had already expanded exports to over 100 countries (Fortune Business Insights, 2026). The vulnerability was not just theoretical; by 2024, Alstom was forced into a massive €1.75 billion debt restructuring to maintain its investment grade, exposing the financial fragility that proponents argue a "European Champion" would have avoided through superior scale and R&D synergy.

The deeper problem is one of regulatory design. The Horizontal Merger Guidelines define the relevant market primarily by reference to EU geography. They apply a static snapshot of current market shares rather than a forward-looking assessment of where competition will actually be fought (European Commission Horizontal Merger Guidelines, 2022).

2.3 The External Shock: The IRA and Chinese State Capitalism

The Inflation Reduction Act (2022), allocated approximately USD 369 billion in subsidies for clean energy and domestic manufacturing. European firms relocated planned investments, attracted by tax credits that EU law could not match without triggering state aid investigations. The Letta Report documented the resulting fragmentation: member states that could afford it launched their own subsidy schemes under emergency frameworks, while smaller economies watched investment flow west or east into Germany and France (Letta, 2024); (IRA, 2022).

China's approach operates through state-directed lending, below-market equity financing, and strategic procurement preferences. These do not show up cleanly as "subsidies" in WTO or EU law, but they allow Chinese firms to price internationally at levels that reflect strategic priorities rather than market costs. What is new is the speed at which Chinese firms have moved from protected domestic markets into direct competition with EU leaders in sectors from electric vehicles to solar panels to semiconductor equipment.

Against this backdrop, EU competition law's insistence on defining markets by reference to the EU's own internal structure is not just technically questionable. It is, unaffordable.

3. Proposed Policy Solution: The 2 for 1 Reform

3.1 Track One: Modernising Merger Review

The first track addresses the structural problem in how the Commission assesses horizontal mergers in sectors with global competitive dynamics. The core proposal is an amendment to the Horizontal Merger Guidelines to include a "global contestability" criterion alongside the existing consumer welfare standard (European Commission Horizontal Merger Guidelines, 2022).

In practice, this would require the Commission's assessment to include a forward-looking analysis of whether the proposed concentration would enhance the ability of the merged entity to compete in global markets, particularly in sectors where non-EU state-backed rivals hold or are likely to attain dominant positions. This is not a blank cheque for industrial consolidation. The consumer welfare standard would remain operative for mergers whose competitive effects are primarily domestic. But in sectors where the Commission's own market definition stretches beyond EU borders, the guidelines should say so explicitly.

The reform should also update the treatment of innovation cycles. The guidelines should incorporate a "long-term innovation cycle" methodology, drawing on approaches already developed in pharmaceutical merger review, to assess not just current market shares but the dynamic effects of consolidation on R&D investment and technological leadership. The US DOJ/FTC 2023 Merger Guidelines already incorporate multi-market effects analysis, providing a useful comparative reference (DOJ/FTC Merger Guidelines, 2023).

The Clean Industrial Deal of February 2025 itself signals the Commission's awareness of this gap: the Commission explicitly plans to "revise its merger guidelines to better integrate into the competition analysis the impact on innovation, resilience, and investment intensity of competition in strategic sectors" (European Commission Clean Industrial Deal, 2025).

3.2 Track Two: The European Sovereignty Fund

The second track addresses state aid fragmentation. Germany's use of the Temporary Crisis and Transition Framework approved more state aid than the rest of the eurozone combined in certain quarters of 2023. This is precisely the internal market distortion the state aid rules were designed to prevent, now occurring with Commission blessing under emergency frameworks (Letta, 2024, Chapter 2).

The European Sovereignty Fund, proposed here as a permanent instrument within the Multiannual Financial Framework, would centralise a portion of industrial support at EU level. The Fund would operate on three principles: contributions based on member state GDP; disbursements conditional on projects meeting defined cross-border European strategic value criteria; and all funded entities subject to uniform performance metrics and sunset clauses. The Clean Industrial Deal State Aid Framework adopted in June 2025 already provides partial institutional infrastructure on which to build (CISAF, European Commission, 2025).

This last point matters. One legitimate criticism of industrial policy is that it tends to protect incumbents rather than enable challengers. The Sovereignty Fund's governance structure should be designed explicitly to avoid this: independent project assessment, time-limited support, and mandatory review against pre-agreed output targets.

4. Stakeholder Mapping and Institutional Analysis

Any reform of this scope will encounter resistance. The table below maps the key actors, their interests, and their likely positions.

Stakeholder	Incentives / Interests	Resistance or Support
DG COMP	Consumer welfare mandate; price stability; institutional authority over merger review and state aid enforcement.	Resistant to the "global contestability" standard, which it will frame as politicising anti-trust. Likely to accept guideline reform only if its institutional role is preserved and the standard is tightly defined.
France & Germany	Strategic autonomy; protection of national champions; global market share for domestic industrial bases.	Strong support for both tracks in principle. Resistance to Sovereignty Fund if it constrains bilateral industrial schemes or requires genuine burden-sharing with eastern member states.
Smaller / Frugal Member States	Single Market integrity; fear of distortion by large-economy subsidy races; access to EU-level industrial support they cannot fund nationally.	Mixed. The Sovereignty Fund addresses their core concern about being outsubsidised. But they will resist loosening of merger rules in markets they lack the scale to participate in.
European Parliament	Consumer protection; strategic autonomy; green transition alignment; democratic oversight of large public expenditure.	Supportive of Sovereignty Fund if subject to parliamentary scrutiny. Divided on merger reform: pro-industry groups welcome it, Greens and Social Democrats will demand consumer and labour protections.
Industry / Business Federations	Regulatory certainty; access to public support; level playing field with non-EU competitors; reduced compliance costs.	Strong support, subject to predictability of any new criteria. Sector-specific lobbies will push for sector-specific carve-outs, which the reform should resist.

5. Implementation Roadmap

The Dual-Track Reform is designed to be phased, with each stage building on the last and providing political proof-of-concept for the next.

Phase 1 (Short-term: 2025-2026) — Amending the Notice on Market Definition

The immediate step is the least legally contested. The Commission's Notice on Market Definition, updated in 2024, already acknowledges that geographic markets can extend beyond EU borders. An amended Notice should make this explicit for sectors meeting defined criteria of global contestability: advanced manufacturing, clean energy technology, semiconductors, and strategic transport infrastructure (European Commission Market Definition Notice, 2024).

This amendment requires no Treaty change and no legislative process. It is an administrative act of the Commission, subject to stakeholder consultation but not co-decision. It would, however, send an immediate signal to DG COMP that global market dynamics are a relevant consideration in merger review, and would provide the legal foundation for the revised Horizontal Merger Guidelines to follow.

Phase 2 (Medium-term: 2026-2028) — MFF Mid-term Review and Sovereignty Fund Establishment

The 2028 MFF mid-term review provides the natural legislative vehicle for establishing the Sovereignty Fund. The Draghi Report's call for EUR 800 billion in annual investment has shifted the terms of the fiscal debate, and the Clean Industrial Deal Framework of February 2025 has already created some institutional infrastructure for coordinated industrial support (Draghi, 2024, Part A, p. 59); (European Commission Clean Industrial Deal, 2025).

The Sovereignty Fund should be established as a dedicated instrument within the MFF, with its own governance council, independent project assessment body, and reporting obligations to the European Parliament. Initial capitalisation should target EUR 100-150 billion over the seven-year cycle, focused on cross-border projects that national schemes cannot fund alone.

Phase 3 (Long-term: 2028 onwards) — Operational Scaling of Joint Industrial Projects

Once the Fund is operational and the revised merger guidelines are in force, the third phase involves scaling the instrument to support Joint Industrial Projects. The IPCEI (Important Projects of Common European Interest) framework already exists for this purpose but is cumbersome, slow, and poorly capitalised. The Sovereignty Fund should streamline IPCEI procedures and provide reliable co-financing, making it a viable alternative to purely national schemes for projects of genuine European strategic value (European Parliament Legislative Train, 2025).

6. Feasibility and Risk Analysis

6.1 The Risk of Market Distortion and Zombie Companies

The most serious risk of any industrial policy framework is that it ends up protecting the wrong things. Subsidies directed at firms that lack genuine competitive potential do not create European champions. They create European incumbents who survive on public support rather than market performance. Several of the automotive investments made under the Temporary Framework have gone to firms whose electrification strategies are now in question (CISAF, European Commission, 2025).

The Sovereignty Fund's design addresses this directly through three mechanisms. First, all funded entities must meet pre-agreed performance KPIs, assessed by an independent project board at regular intervals. Second, all support is time-limited by statutory sunset clauses: no project receives funding for more than seven years without fresh assessment against revised market conditions. Third, the Fund's governance structure explicitly excludes recipient firms from the bodies that assess their own performance, preventing the capture dynamic that has plagued certain national industrial schemes.

6.2 Legal Feasibility under EU Treaties

The merger guideline reform is legally straightforward. Guidelines are Commission administrative instruments and can be revised without treaty amendment. The global contestability standard would need to be defined with sufficient precision to survive judicial review, but the Court of Justice has consistently affirmed the Commission's wide margin of assessment in complex economic matters (Council Regulation (EC) No 139/2004).

The Sovereignty Fund raises more complex questions. Establishing a new MFF instrument requires unanimous Council agreement and European Parliament consent. This is a high bar. However, the Next Generation EU precedent demonstrates that member states can agree to novel financing instruments

when the strategic case is made clearly enough. The key political challenge is persuading the Frugal Four that a centralised fund with genuine cross-border conditionality is preferable to continued subsidy races they are already losing.

6.3 Risk of Retaliation and WTO Compatibility

Any expansion of EU industrial support carries a risk of retaliatory action from trading partners. The WTO Agreement on Subsidies and Countervailing Measures prohibits certain categories of subsidy, though its enforcement has been weakened by the paralysis of the Appellate Body. The Sovereignty Fund should be designed from the outset to comply with WTO rules: avoiding export contingency and domestic content requirements as explicit conditions. Support tied to R&D, infrastructure, and environmental standards is generally WTO-compatible; support tied to production quotas is not (WTO SCM Agreement, 1994).

7. Conclusion

The tension between the Level Playing Field and the European Champions logic is real, but it is also somewhat falsely framed. The Level Playing Field was never designed to prevent Europe from competing globally. It was designed to prevent member states from competing against each other. These are different problems, and the current framework conflates them.

What the Dual-Track Reform proposes is a recalibration, not an abandonment. The consumer welfare standard stays. The state aid prohibition stays. What changes is the analytical frame: the EU's competitive reference point shifts from the internal market to the global one, and the instrument for industrial support moves from twenty-seven competing national schemes to a single coordinated European one.

This will not be politically easy. DG COMP will resist any dilution of its institutional authority. Smaller member states will demand assurances that the Sovereignty Fund is not simply a transfer to French and German industrial bases at European scale. The frugal member states will need to be shown that centralised support is cheaper and more effective than the subsidy races they currently lose. None of these concerns are unreasonable, and none of them are insurmountable.

The alternative is to continue as at present: blocking mergers on grounds of EU market structure while Chinese and American rivals consolidate their global positions, and watching national governments direct hundreds of billions in industrial support through frameworks the Commission approves under emergency provisions because the permanent rules cannot accommodate them. That is not a Level Playing Field. That is a managed decline, administered with procedural rigour.

Europe has the industrial base, the regulatory capacity, and the market scale to compete as a geopolitical economic power. Whether it has the institutional coherence to deploy them is, in the end, the question this reform is designed to answer.

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Results of the Contest :

Dear Mihail,

Thank you for your participation in the IE Public Policy Impact Competition.

Your paper, "Competing Visions for EU Economic Power: A Dual-Track Reform of Competition and Industrial Policy," stood out for its clarity, strategic depth, and strong grasp of the EU's regulatory and geopolitical challenges .

Your proposal to integrate a global contestability standard alongside a European Sovereignty Fund demonstrated a sophisticated understanding of how policy frameworks must evolve in response to global competition.

While the final selection was highly competitive, your submission came very close to being selected as a winner.

For this reason, I wanted to personally write to you an encourage you to apply for the Master in Public Policy. I assure you both Admissions and Financial Aid teams have been informed of your participation, and it will be taken into account in your application evaluation (admissions and scholarship application).

I'm sure you'd have a lot to add to the class if you decide to join and hope to welcome you to IE in the future.

Warm regards,

Marta Albaladejo carreño

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